

Rating  
Hold

North America  
United States

TMT  
Semiconductors

Company  
NVIDIA Corporation

Reuters  
NVDA.OQ

Bloomberg  
NVDA US

Exchange  
NMS

Ticker  
NVDA

Date  
22 May 2024

Forecast Change

|                            |                 |
|----------------------------|-----------------|
| Price at 22 May 2024 (USD) | 949.50          |
| Price target               | 1,000.00        |
| 52-week range              | 953.86 - 305.38 |

## F1Q25 (Apr) Results: Victory lap

One year after one of the most stunning beats/raises in market history, NVDA delivered another now-trademark multi-billion dollar beat and raise led by continued demand for AI compute. While many expected a beat and raise of this magnitude in the near-term (DBe ~in-line with investor "bogeys"), we believe the much more important metric was the company's still-positive medium-term outlook (demand > supply "well into" 2025, Hopper to continue to grow despite imminent launch of Blackwell, diversification of demand across new verticals/geos/customer types (sovereigns, startups, etc)). As we continue to witness this streak of amazing fundamental and financial execution, we agree the magnitude and the pace of the technological innovation offered by the company is both impressive and unprecedented. With our out-year EPS estimates rising ~15%+, we raise our P/T to \$1,000 based on a consistent ~30x our higher CY25E EPS. While we acknowledge momentum remains in NVDA's favor, we believe the stock's current valuation fairly balances upside potential against future cyclical/digestion risks. Maintain Hold rating.

### Positives outweigh negatives

**Positives:** 1) NVDA continues to benefit from strong demand across markets spanning from cloud service providers, consumer internet companies, autos, startups, governments, and countless other sectors. This diversification of demand is reflected in Cloud revenues falling to mid-40s % of revenue, down from >50% in the prior quarter, with q/q growth instead led by Enterprise and Consumer Internet companies. 2) NVDA expects Blackwell shipments to begin in 2Q and ramp in 3Q, slightly ahead of investor expectations, albeit still only material by 4Q. While bears have flagged the potential risk of an "air pocket" or "Osborne effect" ahead of the Blackwell launch, NVDA somewhat dispelled these fears, saying it expects "increasing demand of Hopper through this quarter" and "demand to outstrip supply for some time". 3) Given the vast amounts of cash it is set to generate, NVDA seemingly updated its cash return strategy, buying back a record \$7.7b of shares in the Apr-qtr and 2.5x'ing its dividend. We highlight the company also announced 10 for 1 stock split, to take effect in June 2024. **Negatives:** Once again, we see very little to highlight as a negative in this report. With this said, 1) On a % basis, gross margins are currently inflated due to favorable component costs, and are expected to decline through the year (DBe exit year at ~74%), a modest downtick vs last quarter's guidance. 2) While rev growth is accelerating significantly, such growth is being accompanied by proportional increases in opex (guided to grow low-40s %

### Valuation & Risks

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### Key changes

|                |                        |   |       |
|----------------|------------------------|---|-------|
| TP             | 850.00 to 1,000.00     | ↑ | 17.6% |
| EPS (USD)      | 22.79 to 24.61         | ↑ | 8.0%  |
| Revenue (USDm) | 109,368.1 to 118,176.0 | ↑ | 8.1%  |

Source: Deutsche Bank

Deutsche Bank Securities Inc.

IMPORTANT RESEARCH DISCLOSURES AND ANALYST CERTIFICATIONS LOCATED IN APPENDIX 1. Deutsche Bank does and seeks to do business with companies covered in its research reports. Thus, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. MCI (P) 041/10/2023.



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y/y).

#### Another significant beat and raise

NVDA reported Apr-qtr revenues of \$26.0b (+18% q/q, +262% y/y), once again solidly above guidance/DBe of \$24.0b/\$24.5b and Street at \$24.7b. By end market, Data Center revs significantly beat our expectations (+\$1.5b above DBe) led by growth in Enterprise and Consumer Internet companies. Gaming revs slightly beat our expectations (-8% q/q vs DBe -10% q/q), Proviz revs of \$427m (-8% q/q vs. DBE +5% q/q) were below our expectations, Auto revs of \$329m (+17% q/q vs. DBE flat q/q) were well ahead of our ests, and OEM/Other revs were in-line with our ests at \$79m. PF GMs came in at 78.9%, vs. guidance 77.0% on favorable component costs, and PF Opex came in at \$2.50b vs. guidance/DBe \$2.50b. All told, Apr-qtr EPS totaled \$6.12, well above DBE/Street at \$5.54/\$5.65 on better revs & margins. NVDA guided revenues to \$28.0b (+7.5% q/q), above DBE/Street at \$26.5b/\$26.8b on continued strength in Data Center. Non-GAAP GM was guided to 75.5% (vs. DBE 76.2%), with non-GAAP OpEx guided to \$2.80b (vs. DBE \$2.61b), yielding implied non-GAAP EPS of ~\$6.20, above DBE/Street at \$6.00/\$6.03. Our CY24E revenue/ EPS moves to \$118.1b (+94% y/y)/ \$26.56 from \$109.4b (+80% y/y)/ \$24.75, and our CY25E revs/ EPS move to \$146.2b (+24% y/y)/ \$33.06 from \$125.8b (+15% y/y)/ \$28.50 prior. Our CY26E rev/ EPS ests move to \$161.9b (+11% y/y)/ \$37.00 from \$138.2b (+10% y/y)/ \$31.60 prior.

#### Maintain Hold rating, raise P/T to \$1000

On higher estimates, we raise our P/T to \$1000 and maintain our Hold rating. Our P/T is based on a consistent multiple of ~30x our CY25E EPS, a premium to the co's recent trading range in the 20-25x range to reflect strong earnings momentum, but still a discount to the co's 5-year average. Upside/downside risks include better-/ worse-than-expected Gaming, Data Center, Automotive, and OEM/Other revenue growth, higher-/ lower-than-expected profitability, macro, design win/product execution, and market share shifts. Positive/negative company-specific risks include market share gains/losses in Graphics and Compute & Networking businesses, competitive and pricing pressure, product execution, and impacts to profitability from investments.



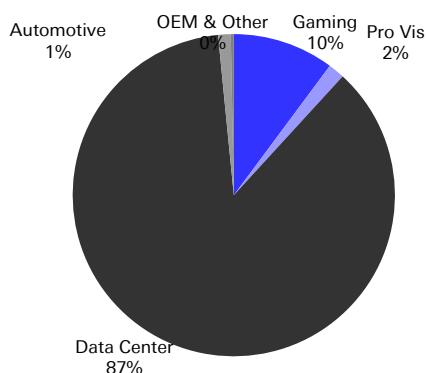
# Details

Figure 1: NVIDIA earnings result summary

|                                   | Consensus | 1Q25 DBE | 1Q25 Actual | Comments                                  |
|-----------------------------------|-----------|----------|-------------|-------------------------------------------|
| Revenue                           | \$24,692  | \$24,507 | \$26,044    |                                           |
| q/q                               | +12%      | +11%     | +18%        | Above DB est/guidance of \$24.0b          |
| Gross Margin                      |           | 77.1%    | 78.9%       | Above DB est on favorable component costs |
| Opex                              |           | \$2,536  | \$2,501     |                                           |
| Tax Rate                          |           | 17.0%    | 17.0%       |                                           |
| EPS                               | \$5.65    | \$5.54   | \$6.12      | Above DB est                              |
| <b>End Market Segment Results</b> |           |          |             |                                           |
| Gaming                            |           | \$2,570  | \$2,647     |                                           |
| q/q                               |           | -10%     | -8%         | Above DB est                              |
| Professional Visualization        |           | \$486    | \$427       |                                           |
| q/q                               |           | +5%      | -8%         | Below DB est                              |
| Datacenter                        |           | \$21,089 | \$22,563    |                                           |
| q/q                               |           | +15%     | +23%        | Well above DB est                         |
| Automotive                        |           | \$281    | \$329       |                                           |
| q/q                               |           | 0%       | +17%        | Above DB est                              |
| OEM & Other                       |           | \$81     | \$78        |                                           |
| q/q                               |           | -10%     | -13%        |                                           |
| <b>Balance Sheet</b>              |           |          |             |                                           |
| Cash and equivalents              |           | \$35,394 | \$31,438    |                                           |
| q/q                               |           | \$9,410  | \$5,454     |                                           |
| Inventory                         |           | \$5,844  | \$5,864     |                                           |
| q/q                               |           | +\$562   | +\$582      |                                           |
| DIOs                              |           | 95 days  | 98 days     |                                           |
| q/q                               |           | +1 days  | +4 days     |                                           |
| <b>Cash Flow Statement</b>        |           |          |             |                                           |
| CFO                               |           | \$12,861 | \$15,345    |                                           |
| Capex                             |           | \$353    | \$369       |                                           |
| FCF                               |           | \$12,508 | \$14,976    |                                           |

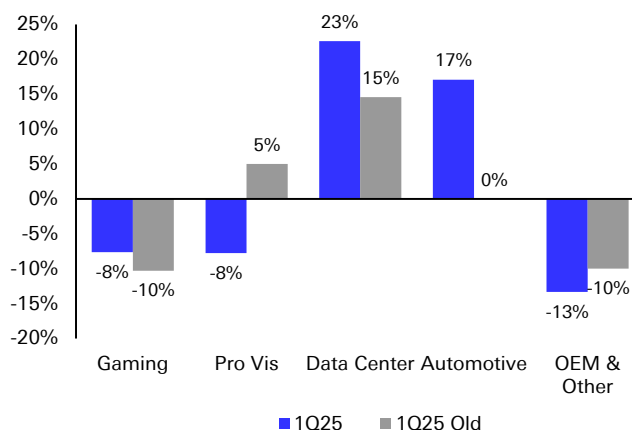
Source : Company data, Bloomberg Finance LP, Deutsche Bank estimates

Figure 2: Reported quarter product mix



Source : Company data, Deutsche Bank estimates

Figure 3: Reported quarter q/q change (Actual vs. DBE)



Source : Company data, Deutsche Bank estimates



## Guidance and estimate revisions

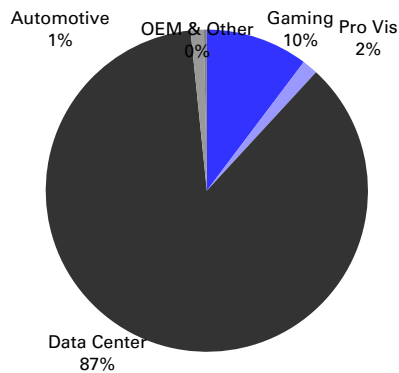
NVIDIA provided the following guidance:

Figure 4: NVIDIA quarterly guidance

| Guidance item              | Guidance        | Prior DBe     |
|----------------------------|-----------------|---------------|
| Revenues                   | \$28b +/-2%     | --            |
| q/q change (implied)       | +5-10% q/q      | +8%           |
| Revenue Midpoint (\$ in b) | \$28.00         | \$26.54       |
| Non-GAAP GM%               | 75.5% +/- 50bps | 76.2%         |
| PF opex (m)                | \$2,800         | \$2,614       |
| Other income/(expense)     | \$300m income   | \$371m income |
| Tax rate                   | 17.0% +/- 1%    | 17.0%         |
| Gaming                     | --              | 11%           |
| Datacenter                 | --              | 8%            |
| Automotive                 | --              | 15%           |
| Provisualization           | --              | 5%            |

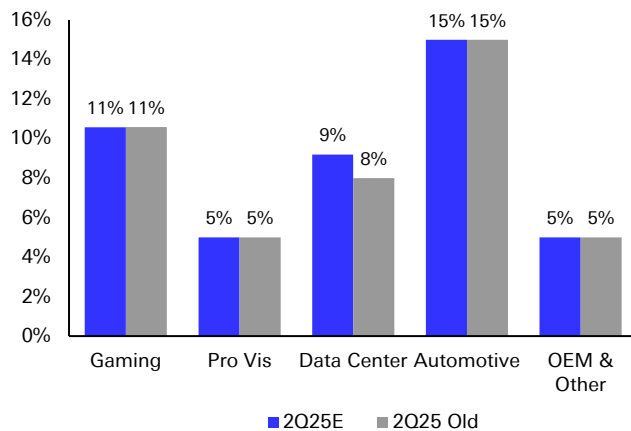
Source : Company reports, Deutsche Bank estimates

Figure 5: Fwd qtr est product segment mix



Source : Deutsche Bank estimates

Figure 6: Fwd qtr est segment growth (new vs. old)



Source : Deutsche Bank estimates

Given NVDA's guidance, we adjust our estimates as illustrated below:

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Figure 7: NVIDIA estimates summary

|              | <u>New 2Q25E</u> | <u>Old 2Q25E</u> | <u>New CY24E</u> | <u>Old CY24E</u> | <u>New CY25E</u> | <u>Old CY25E</u> |
|--------------|------------------|------------------|------------------|------------------|------------------|------------------|
| Revenue      | \$28,472         | \$26,537         | \$118,176        | \$109,368        | \$146,225        | \$125,772        |
| q/q          | +9%              | +8%              | --               | --               | --               | --               |
| y/y          | +111%            | +96%             | +94%             | +80%             | +24%             | +15%             |
| Gross Margin | 75.5%            | 76.2%            | 75.6%            | 75.9%            | 74.1%            | 74.4%            |
| EPS          | \$6.34           | \$6.00           | \$26.56          | \$24.75          | \$33.06          | \$28.50          |

Source : Deutsche Bank estimates

Figure 8: NVIDIA Income Statement (\$ in millions, except per share data)

|                                         | Apr-23<br>1Q24 | Jul-23<br>2Q24 | Oct-23<br>3Q24 | Jan-24<br>4Q24 | Year<br>2024 | Apr-24<br>1Q25 | Jul-24<br>2Q25E | Oct-24<br>3Q25E | Jan-25<br>4Q25E | Year<br>2025E | Apr-25<br>1Q26E | Jul-25<br>2Q26E | Oct-25<br>3Q26E | Jan-26<br>4Q26E | Year<br>2026E | Apr-26<br>1Q27E | Jul-26<br>2Q27E | Oct-26<br>3Q27E | Jan-27<br>4Q27E | Year<br>2027E |
|-----------------------------------------|----------------|----------------|----------------|----------------|--------------|----------------|-----------------|-----------------|-----------------|---------------|-----------------|-----------------|-----------------|-----------------|---------------|-----------------|-----------------|-----------------|-----------------|---------------|
| Revenues                                | \$7,192        | \$13,507       | \$18,120       | \$22,103       | \$60,922     | \$26,044       | \$28,472        | \$30,603        | \$33,057        | \$118,176     | \$34,418        | \$36,728        | \$37,758        | \$38,322        | \$146,225     | \$38,548        | \$40,000        | \$41,495        | \$41,840        | \$161,883     |
| Depreciation                            | 211            | 228            | 237            | 250            | 926          | 270            | 275             | 280             | 285             | 1,110         | 290             | 295             | 300             | 305             | 1,190         | 310             | 315             | 320             | 325             | 1,270         |
| Cost of Goods                           | 2,179          | 3,665          | 4,300          | 4,894          | 15,038       | 5,214          | 6,695           | 7,505           | 8,293           | 27,707        | 8,615           | 8,985           | 9,527           | 9,602           | 36,728        | 9,817           | 10,404          | 11,012          | 11,227          | 42,460        |
| Gross Profit (Non-GAAP)                 | 4,802          | 9,614          | 13,583         | 16,959         | 44,958       | 20,560         | 21,502          | 22,818          | 24,479          | 89,359        | 25,513          | 26,448          | 27,931          | 28,415          | 108,307       | 28,420          | 29,281          | 30,163          | 30,289          | 118,153       |
| Research and Development (Non-GAAP)     | 1,339          | 1,440          | 1,581          | 1,747          | 6,107        | 1,981          | 2,208           | 2,297           | 2,390           | 8,877         | 2,454           | 2,548           | 2,617           | 2,656           | 10,276        | 2,730           | 2,793           | 2,835           | 2,858           | 11,215        |
| Selling, General and Admin. (Non-GAAP)  | 411            | 398            | 445            | 463            | 1,717        | 520            | 597             | 642             | 660             | 2,419         | 670             | 695             | 697             | 708             | 2,770         | 712             | 739             | 766             | 794             | 3,010         |
| Other Non-GAAP Adjustments              | 0              | 0              | 0              | 0              | 0            | 0              | 0               | 0               | 0               | 0             | 0               | 0               | 0               | 0               | 0             | 0               | 0               | 0               | 0               | 0             |
| Other Operating Exp. / (Inc.)           | 0              | 0              | 0              | 0              | 0            | 0              | 0               | 0               | 0               | 0             | 0               | 0               | 0               | 0               | 0             | 0               | 0               | 0               | 0               | 0             |
| Total Operating Expenses (Non-GAAP)     | 1,750          | 1,838          | 2,026          | 2,210          | 7,824        | 2,501          | 2,805           | 2,939           | 3,050           | 11,296        | 3,124           | 3,243           | 3,314           | 3,364           | 13,046        | 3,442           | 3,531           | 3,601           | 3,652           | 14,226        |
| Operating Income                        | 3,052          | 7,776          | 11,557         | 14,749         | 37,134       | 18,059         | 18,697          | 19,879          | 21,429          | 78,064        | 22,389          | 23,205          | 24,617          | 25,051          | 95,261        | 24,979          | 25,750          | 26,562          | 26,637          | 103,928       |
| Interest Income                         | 150            | 187            | 234            | 294            | 865          | 359            | 364             | 460             | 576             | 1,759         | 706             | 858             | 1,013           | 1,191           | 3,768         | 1,383           | 1,569           | 1,752           | 1,957           | 6,662         |
| Interest Expense on ST Debt             | 0              | 0              | 0              | 0              | 0            | 0              | 0               | 0               | 0               | 0             | 0               | 0               | 0               | 0               | 0             | 0               | 0               | 0               | 0               | 0             |
| Interest Expense on LT Debt             | 66             | 65             | 63             | 63             | 257          | 64             | 64              | 64              | 64              | 256           | 64              | 64              | 64              | 64              | 256           | 64              | 64              | 64              | 64              | 256           |
| Interest Expense on Conv. Debt          | 0              | 0              | 0              | 0              | 0            | 0              | 0               | 0               | 0               | 0             | 0               | 0               | 0               | 0               | 0             | 0               | 0               | 0               | 0               | 0             |
| Total Interest Expense                  | 66             | 65             | 63             | 63             | 257          | 64             | 64              | 64              | 64              | 256           | 64              | 64              | 64              | 64              | 256           | 64              | 64              | 64              | 64              | 256           |
| Other Non-oper. Exp. / (Inc.)           | 0              | 2              | (4)            | (1)            | (3)          | (7)            | 0               | 0               | 0               | (7)           | 0               | 0               | 0               | 0               | 0             | 0               | 0               | 0               | 0               | 0             |
| Pretax Income                           | 3,136          | 7,896          | 11,732         | 14,961         | 37,745       | 18,361         | 18,996          | 20,276          | 21,941          | 79,574        | 23,031          | 23,999          | 25,566          | 26,178          | 98,774        | 26,298          | 27,255          | 28,250          | 28,530          | 110,334       |
| Income Tax Expense / (Benefit)          | 423            | 1,156          | 1,712          | 2,142          | 5,433        | 3,123          | 3,231           | 3,449           | 3,732           | 13,535        | 3,917           | 4,082           | 4,348           | 4,453           | 16,800        | 4,473           | 4,636           | 4,805           | 4,853           | 18,767        |
| Non-GAAP Net Income for Diluted EPS     | \$2,713        | \$6,740        | \$10,020       | \$12,839       | \$32,312     | \$15,238       | \$15,765        | \$16,827        | \$18,209        | \$66,039      | \$19,114        | \$19,917        | \$21,217        | \$21,726        | \$81,973      | \$21,825        | \$22,619        | \$23,445        | \$23,677        | \$91,567      |
| PF Basic EPS                            | \$1.10         | \$2.73         | \$4.06         | \$5.21         | \$13.09      | \$6.19         | \$6.41          | \$6.85          | \$7.41          | \$26.86       | \$7.79          | \$8.12          | \$8.65          | \$8.87          | \$33.43       | \$8.91          | \$9.24          | \$9.58          | \$9.68          | \$37.41       |
| PF Fully Diluted EPS                    | \$1.09         | \$2.70         | \$4.02         | \$5.16         | \$12.96      | \$6.12         | \$6.34          | \$6.77          | \$7.33          | \$26.56       | \$7.70          | \$8.03          | \$8.56          | \$8.77          | \$33.06       | \$8.81          | \$9.14          | \$9.48          | \$9.57          | \$37.00       |
| Weighted Average Shares Out. (in '000s) | 2,470,000      | 2,473,000      | 2,468,000      | 2,466,000      | 2,469,250    | 2,462,000      | 2,460,000       | 2,458,000       | 2,456,000       | 2,459,000     | 2,454,500       | 2,453,000       | 2,451,500       | 2,450,000       | 2,452,250     | 2,449,000       | 2,448,000       | 2,447,000       | 2,446,000       | 2,447,500     |
| Diluted Shares (in '000s)               | 2,490,000      | 2,499,000      | 2,494,000      | 2,490,000      | 2,493,250    | 2,489,000      | 2,487,000       | 2,485,000       | 2,483,000       | 2,486,000     | 2,481,500       | 2,480,000       | 2,478,500       | 2,477,000       | 2,479,250     | 2,476,000       | 2,475,000       | 2,474,000       | 2,473,000       | 2,474,500     |
| Net ESO Expense                         | \$735          | \$842          | \$979          | \$993          | \$3,549      | \$1,043        | \$1,095         | \$1,150         | \$1,150         | \$4,436       | \$1,207         | \$1,267         | \$1,331         | \$1,331         | \$5,136       | \$1,397         | \$1,467         | \$1,540         | \$1,540         | \$5,945       |
| Adjusted Basic GAAP EPS (incl-ESO)      | \$0.80         | \$2.38         | \$3.66         | \$4.80         | \$11.65      | \$5.77         | \$5.96          | \$6.38          | \$6.95          | \$25.05       | \$7.30          | \$7.60          | \$8.11          | \$8.32          | \$31.33       | \$8.34          | \$8.64          | \$8.95          | \$9.05          | \$34.98       |
| Adjusted Diluted GAAP EPS (incl-ESO)    | \$0.79         | \$2.36         | \$3.63         | \$4.76         | \$11.54      | \$5.70         | \$5.90          | \$6.31          | \$6.87          | \$24.78       | \$7.22          | \$7.52          | \$8.02          | \$8.23          | \$30.99       | \$8.25          | \$8.55          | \$8.85          | \$8.95          | \$34.60       |
| Common Dividends Per Share              | \$0.04         | \$0.04         | \$0.04         | \$0.04         | \$0.16       | \$0.04         | \$0.10          | \$0.10          | \$0.10          | \$0.34        | \$0.10          | \$0.10          | \$0.10          | \$0.10          | \$0.40        | \$0.10          | \$0.10          | \$0.10          | \$0.10          | \$0.40        |
| Nonrecurring Charges                    | (192)          | \$73           | \$231          | (\$118)        | \$378        | \$125          | \$125           | \$125           | \$125           | \$500         | \$125           | \$125           | \$125           | \$125           | \$500         | \$125           | \$125           | \$125           | \$125           | \$500         |
| Tax Effect of Charges                   | (\$257)        | (\$363)        | (\$433)        | (\$321)        | (\$1,374)    | (21)           | (21)            | (21)            | (21)            | (85)          | (21)            | (21)            | (21)            | (21)            | (85)          | (21)            | (21)            | (21)            | (21)            | (85)          |
| GAAP Net Inc. for Dil. EPS              | \$2,043        | \$6,188        | \$9,243        | \$12,285       | \$29,759     | \$14,092       | \$14,567        | \$15,574        | \$16,956        | \$61,188      | \$17,803        | \$18,546        | \$19,783        | \$20,291        | \$76,423      | \$20,324        | \$21,049        | \$21,801        | \$22,033        | \$85,207      |
| GAAP Basic EPS                          | \$0.83         | \$2.50         | \$3.75         | \$4.98         | \$12.05      | \$5.72         | \$5.92          | \$6.34          | \$6.90          | \$24.88       | \$7.25          | \$7.56          | \$8.07          | \$8.28          | \$31.16       | \$8.30          | \$8.60          | \$8.91          | \$9.01          | \$34.81       |
| GAAP Diluted EPS                        | \$0.82         | \$2.48         | \$3.71         | \$4.93         | \$11.94      | \$5.66         | \$5.86          | \$6.27          | \$6.83          | \$24.61       | \$7.17          | \$7.48          | \$7.98          | \$8.19          | \$30.82       | \$8.21          | \$8.50          | \$8.81          | \$8.91          | \$34.43       |
| Revenue % Change - Sequential           | 18.9%          | 87.8%          | 34.2%          | 22.0%          | NM           | 17.8%          | 9.3%            | 7.5%            | 8.0%            | NM            | 4.1%            | 3.8%            | 5.7%            | 1.5%            | NM            | 0.6%            | 3.8%            | 3.7%            | 0.8%            | NM            |
| EPS % Change - Sequential               | 24.1%          | 147.5%         | 49.0%          | 28.3%          | NM           | 18.7%          | 3.5%            | 6.8%            | 8.3%            | NM            | 5.0%            | 4.3%            | 6.6%            | 2.5%            | NM            | 0.5%            | 3.7%            | 3.7%            | 1.0%            | NM            |
| Revenue % Changes, yr. over yr.         | (13.2%)        | 101.5%         | 205.5%         | 265.3%         | 125.9%       | 262.1%         | 110.8%          | 68.9%           | 49.6%           | 94.0%         | 32.2%           | 25.5%           | 23.4%           | 15.9%           | 23.7%         | 12.0%           | 12.0%           | 9.9%            | 9.2%            | 10.7%         |
| EPS % Change, yr. over yr.              | (19.7%)        | 425.2%         | 589.6%         | 487.5%         | 288.4%       | 461.9%         | 135.0%          | 68.5%           | 42.2%           | 105.0%        | 25.8%           | 26.7%           | 26.4%           | 19.6%           | 24.5%         | 14.4%           | 13.8%           | 10.7%           | 9.2%            | 11.9%         |
| Gross Margin                            | 66.8%          | 71.2%          | 75.0%          | 76.7%          | 73.8%        | 78.9%          | 75.5%           | 74.6%           | 74.1%           | 75.6%         | 74.1%           | 74.0%           | 74.0%           | 74.1%           | 74.1%         | 73.7%           | 73.2%           | 72.7%           | 72.4%           | 73.0%         |
| R&D/Sales                               | 18.6           | 10.7           | 8.7            | 7.9            | 10.0         | 7.6            | 7.8             | 7.5             | 7.2             | 7.5           | 7.1             | 7.1             | 6.9             | 6.9             | 7.0           | 7.1             | 7.0             | 6.8             | 6.8             | 6.9           |
| SG&A/Sales                              | 5.7            | 2.9            | 2.5            | 2.1            | 2.8          | 2.0            | 2.1             | 2.1             | 2.0             | 2.0           | 1.9             | 1.9             | 1.8             | 1.8             | 1.9           | 1.8             | 1.8             | 1.8             | 1.9             | 1.9           |
| Operating Expenses                      | 24.3           | 13.6           | 11.2           | 10.0           | 12.8         | 9.6            | 9.9             | 9.6             | 9.2             | 9.6           | 9.1             | 9.1             | 8.8             | 8.8             | 8.9           | 8.9             | 8.8             | 8.7             | 8.7             | 8.8           |
| Operating Margin                        | 42.4           | 57.6           | 63.8           | 66.7           | 61.0         | 69.3           | 65.7            | 65.0            | 64.8            | 66.1          | 65.0            | 64.9            | 65.2            | 65.4            | 65.1          | 64.8            | 64.4            | 64.0            | 63.7            | 64.2          |
| Non-Operating Expenses/Sales            | 3.0            | 1.9            | 1.6            | 1.6            | 1.8          | 1.6            | 1.5             | 1.7             | 1.9             | 1.7           | 2.2             | 2.6             | 2.9             | 3.3             | 2.8           | 3.8             | 4.1             | 4.4             | 4.8             | 4.3           |
| Pretax Margin                           | 43.6           | 58.5           | 64.7           | 67.8           | 62.0         | 70.5           | 66.7            | 66.3            | 66.4            | 67.3          | 66.9            | 67.2            | 67.7            | 68.3            | 67.5          | 68.2            | 68.1            | 68.1            | 68.2            | 68.2          |
| Tax Rate                                | 13.5           | 14.6           | 14.6           | 14.3           | 14.4         | 17.0           | 17.0            | 17.0            | 17.0            | 17.0          | 17.0            | 17.0            | 17.0            | 17.0            | 17.0          | 17.0            | 17.0            | 17.0            | 17.0            | 17.0          |
| Net Margin                              | 37.7           | 49.9           | 55.3           | 58.1           | 53.0         | 58.5           | 55.4            | 55.0            | 55.1            | 55.9          | 55.5            | 55.7            | 56.2            | 56.7            | 56.1          | 56.6            | 56.5            | 56.5            | 56.6            | 56.6          |

Source : Company data, Deutsche Bank estimates





# Appendix 1

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| Disclosure checklist |         |                          |            |
|----------------------|---------|--------------------------|------------|
| Company              | Ticker  | Recent price*            | Disclosure |
| NVIDIA Corporation   | NVDA.OQ | 953.86 (USD) 21 May 2024 | 8, 15      |

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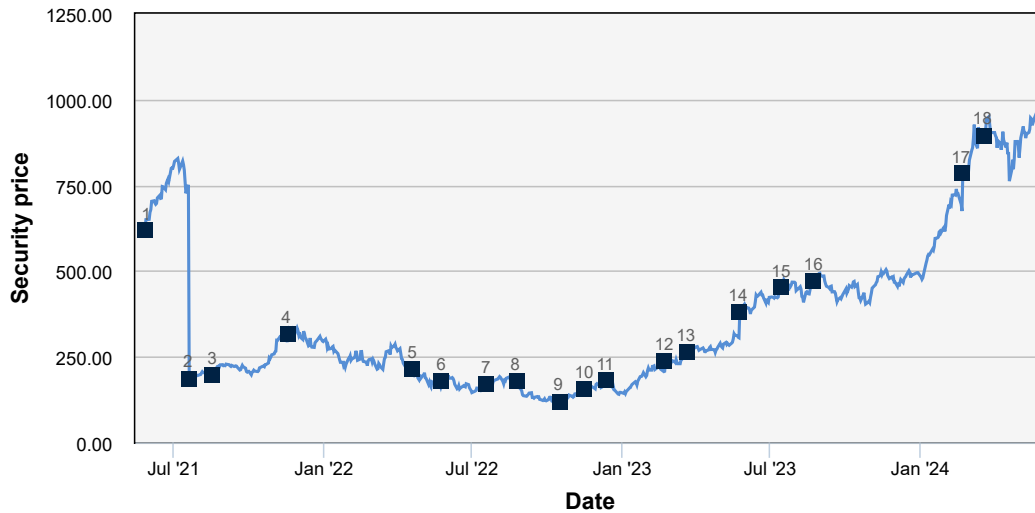
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## Historical recommendations and target price: NVIDIA Corporation (NVDA.OQ)

(as of 05/22/2024)



### Current Recommendations

Buy  
Hold  
Sell  
Not Rated  
Suspended Rating

\*\* Analyst is no longer at Deutsche Bank

|               |                                                                             |                |                                                                             |
|---------------|-----------------------------------------------------------------------------|----------------|-----------------------------------------------------------------------------|
| 1. 05/27/2021 | Hold, Target Price Change USD 600.00, Current Price USD 619.52 Ross Seymore | 10. 11/17/2022 | Hold, Target Price Change USD 150.00, Current Price USD 156.77 Ross Seymore |
| 2. 07/20/2021 | Hold, Target Price Change USD 150.00, Current Price USD 186.12 DJ Sebastian | 11. 12/13/2022 | Hold, Target Price Change USD 170.00, Current Price USD 180.72 Ross Seymore |
| 3. 08/19/2021 | Hold, Target Price Change USD 185.00, Current Price USD 197.98 Ross Seymore | 12. 02/23/2023 | Hold, Target Price Change USD 200.00, Current Price USD 236.64 Ross Seymore |
| 4. 11/18/2021 | Hold, Target Price Change USD 285.00, Current Price USD 316.75 Ross Seymore | 13. 03/22/2023 | Hold, Target Price Change USD 220.00, Current Price USD 264.68 Ross Seymore |
| 5. 04/20/2022 | Hold, Target Price Change USD 255.00, Current Price USD 214.82 Ross Seymore | 14. 05/25/2023 | Hold, Target Price Change USD 390.00, Current Price USD 379.80 Ross Seymore |
| 6. 05/26/2022 | Hold, Target Price Change USD 190.00, Current Price USD 178.51 Ross Seymore | 15. 07/16/2023 | Hold, Target Price Change USD 440.00, Current Price USD 454.69 Ross Seymore |
| 7. 07/19/2022 | Hold, Target Price Change USD 175.00, Current Price USD 169.92 Ross Seymore | 16. 08/24/2023 | Hold, Target Price Change USD 560.00, Current Price USD 471.63 Ross Seymore |
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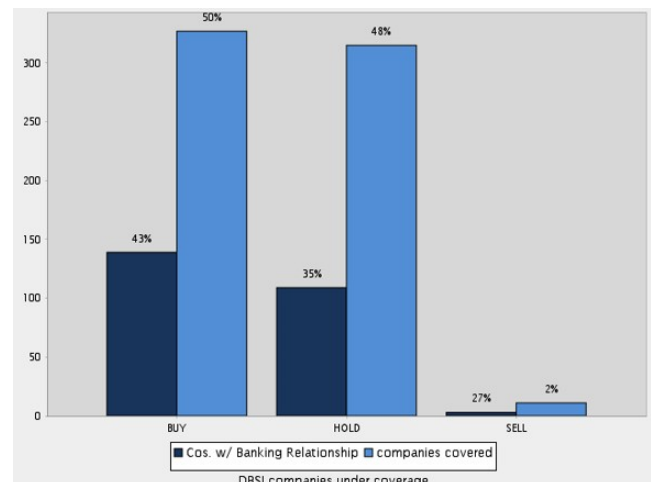
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